

Diploma in International Financial Reporting

Friday 9 June 2017



Time allowed 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

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The Association of
Chartered Certified
Accountants

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in a number of entities, including Beta and Gamma. The statements of profit or loss and other comprehensive income and summarised statements of changes in equity of the three entities for the year ended 31 March 2017 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (Note 3)	468,000	260,000	240,000
Cost of sales (Notes 1-3)	(312,000)	(135,000)	(120,000)
Gross profit	156,000	125,000	120,000
Distribution costs	(26,000)	(20,000)	(18,000)
Administrative expenses (Note 4)	(44,000)	(28,000)	(27,000)
Investment income (Note 5)	28,000	Nil	Nil
Finance costs	(20,000)	(22,000)	(21,000)
Profit before tax	94,000	55,000	54,000
Income tax expense	(24,000)	(14,000)	(13,500)
Profit for the year	70,000	41,000	40,500
Other comprehensive income:			
Items that will be reclassified to profit or loss			
Gains/(losses) on effective cash-flow hedges (Note 6)	Nil	Nil	Nil
Total comprehensive income	70,000	41,000	40,500

Summarised statements of changes in equity

Balance on 1 April 2016	250,000	193,000	166,500
Comprehensive income for the year	70,000	41,000	40,500
Dividends paid on 31 December 2016	(40,000)	(18,000)	(16,000)
Balance on 31 March 2017	280,000	216,000	191,000

Note 1 – Alpha's investment in Beta

On 1 April 2001, Alpha acquired 80 million of the 100 million \$1 equity shares of Beta and gained control of Beta. Alpha paid \$150 million in cash for these shares.

On 1 April 2001, the net assets of Beta had a fair value of \$147 million, all of which had been disposed of or settled by 31 March 2016.

Alpha used the fair value method for measuring the non-controlling interest when recognising the goodwill on acquisition of Beta. The fair value of an equity share in Beta on 1 April 2001, which was \$1.50, was used for this purpose. No impairments of goodwill on acquisition of Beta have been necessary in the consolidated financial statements of Alpha up to and including 31 March 2016.

Beta has three cash generating units. On 31 March 2017, the annual impairment review indicated that the recoverable amounts of the net assets, including goodwill, of the three cash generating units of Beta at that date were as follows:

- Unit 1 – \$87 million.
- Unit 2 – \$84 million.
- Unit 3 – \$80 million.

Net assets and goodwill are allocated equally to the three units and any impairments of goodwill should be charged to cost of sales.

Note 2 – Alpha’s investment in Gamma

On 1 August 2016, Alpha acquired 60 million of the 80 million \$1 equity shares in Gamma and gained control of Gamma. The acquisition was financed as follows:

- Alpha issued two new shares to the former shareholders of Gamma for every three shares Alpha acquired in Gamma. On 1 August 2016, the fair value of an equity share in Alpha was \$4.50.
- Alpha agreed to pay a total of \$16.2 million in cash to the former shareholders of Gamma on 31 July 2017. Alpha’s incremental borrowing rate at 1 August 2016 was 8% per annum.
- Alpha agreed to issue additional shares in Alpha to the former shareholders of Gamma on 30 September 2019 if the cumulative profits of Gamma for the three-year period from 1 August 2016 to 31 July 2019 exceed a target amount. On 1 August 2016, the fair value of this contingent equity consideration was \$26 million.

Alpha has not yet accounted for this acquisition in its individual financial statements. However, you can assume that no impairment of the goodwill on acquisition of Gamma is necessary in the consolidated financial statements of Alpha for the year ended 31 March 2017. Alpha has resolved to use the proportion of net assets method for measuring the non-controlling interest when recognising the goodwill on the acquisition of Gamma.

On 1 August 2016, the fair values of the net assets of Gamma were the same as their carrying amounts in the financial statements of Gamma with the exception of:

- Land – whose fair value exceeded the carrying amount by \$30 million.
- Plant and equipment – whose fair value exceeded the carrying amount by \$12 million. The estimated remaining useful life of the plant and equipment of Gamma at 1 August 2016 was five years.

All depreciation of property, plant and equipment is charged to cost of sales. You can assume that the profit of Gamma for the year ended 31 March 2017 accrued evenly over the year.

Note 3 – Intra-group trading

Alpha supplies a component used by both Beta and Gamma. Alpha earns a profit margin of 20% on these supplies. Details of the sales of the component, and the holdings of inventory of the component by group entities, are as follows:

	Beta \$'000	Gamma \$'000
Sales of the component (for Gamma all sales since 1 August 2016)	20,000	10,000
Inventory of component at 31 March 2016 (at cost to Beta/Gamma)	4,000	Nil
Inventory of component at 31 March 2017 (at cost to Beta/Gamma)	6,000	4,800

Note 4 – Decommissioning provision

On 1 April 2016, Alpha completed the construction of an energy generating facility and brought the facility into use immediately. The cost of construction of the facility was included in property, plant and equipment and was also appropriately depreciated over the useful life of the facility, which was estimated at 16 years at 1 April 2016. At the end of the useful life of the facility, Alpha has an obligation to decommission the facility and restore its location to its former condition. The estimated cost of this decommissioning and restoration is \$8 million, payable on 31 March 2032. The directors of Alpha made a provision of \$8 million in respect of this liability, and charged \$8 million to administrative expenses in the year ended 31 March 2017. An appropriate discount rate to use in any discounting calculations is 8% per annum. At 1 April 2016, the present value of \$1 payable in 16 years’ time at 8% can be taken as 30 cents.

Note 5 – Investment income

The investment income which is shown in Alpha’s statement of profit or loss represents dividends received from Beta and Gamma and also dividends received from a portfolio of other equity investments. This portfolio is classified by Alpha as fair value through profit or loss. The gain on remeasurement of the portfolio to fair value at 31 March 2017 was \$6.5 million. This gain has not yet been recognised in the financial statements of Alpha.

Note 6 – Cash flow hedge

On 1 January 2017, Alpha agreed to purchase goods from a foreign supplier. This purchase is due to be made and paid for on 30 June 2017. The directors of Alpha decided to hedge the cash-flow risk attaching to this future purchase by entering into a derivative contract and to formally designate the derivative as a hedging instrument. The hedge met all of the effectiveness requirements for the use of hedge accounting. On 31 March 2017, the derivative had a positive fair value resulting in a gain to Alpha of \$5 million. Between 1 January 2017 and 31 March 2017 the expected cash flows in respect of the purchase of goods on 30 June 2017 had increased by \$4.2 million. Alpha has not made any accounting entries in respect of this arrangement.

Required:

- (a) Using the information in notes 1 and 2, compute the goodwill arising on the acquisitions of Beta and Gamma in the consolidated financial statements of Alpha.** (7 marks)
- (b) Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended at 31 March 2017. You do not need to consider the tax effects of any adjustments you make.** (26 marks)
- (c) Prepare the summarised consolidated statement of changes in equity of Alpha for the year ended 31 March 2017, including a column for the non-controlling interest.** (7 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. Each year, the financial statements are authorised for issue on 25 May. The following events have occurred which are relevant to the year ended 31 March 2017:

Event (a)

On 1 April 2016, Delta purchased an asset for \$771,000 and immediately leased this asset to entity X. The lease term was for five years and the lease rental, receivable annually in arrears on 31 March, was \$200,000. Delta incurred direct costs of \$20,000 in arranging this lease. The annual rate of interest implicit in this lease was 10%. Under the terms of the lease, entity X is responsible for insuring the asset and for carrying out any necessary repairs and maintenance of the asset. At a discount rate of 10% per annum the present value of \$1 receivable annually in arrears for five years is \$3.80. (8 marks)

Event (b)

On 1 April 2016, Delta entered into a joint arrangement with entity Y to jointly operate a delivery depot. Entity Y is located, and has major customers in, the same geographical region as Delta. Delta and entity Y each made the following payments in respect of the arrangement on 1 April 2016:

- \$25 million each to purchase a joint 25-year leasehold interest in a depot which was close to both Delta and entity Y's business premises. This depot was to act as headquarters for the delivery vehicles (see below).
- \$7.5 million each to purchase a fleet of delivery vehicles. The vehicles have an expected useful life of five years, with no expected residual value.

Delta and entity Y agreed to jointly use the delivery vehicles to deliver products to their customers, and to share the operating costs of the depot equally. Any delivery charges to customers were levied by Delta and entity Y directly at the discretion of the individual entities. During the year ended 31 March 2017, the total cash cost of operating the depot was \$8 million. This was paid equally by Delta and entity Y. In the year ended 31 March 2017, Delta charged its customers a total of \$2 million in delivery charges. (7 marks)

Event (c)

On 31 March 2017, Delta was owed \$10m by entity Z. The amount was due for payment by 30 April 2017. Entity Z has been a customer for many years and has an excellent payment record. At 31 March 2017, there was no reason to suppose that entity Z would fail to pay the \$10m owed to Delta by 30 April 2017. By 20 April 2017, entity Z's going concern status was in considerable doubt. (5 marks)

Required:

Explain and state (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 31 March 2017.

Note: The mark allocation is shown against each of the three events above. You should assume that all amounts described here are material.

(20 marks)

- 3 (a) Non-current assets are often a highly significant component of the total assets of an entity. Therefore, a number of different International Financial Reporting Standards have been published which regulate their definition, recognition, measurement and disclosure. IAS 1 *Presentation of Financial Statements* distinguishes between current and non-current assets. IAS 16 *Property, Plant and Equipment* and IAS 38 *Intangible Assets* specifically regulate the recognition, measurement and disclosure of tangible and intangible assets respectively.

Required:

Explain how:

(i) **IAS 1 distinguishes between current and non-current assets.** (3 marks)

(ii) **IAS 16 defines property, plant and equipment and IAS 38 defines intangible assets.** (4 marks)

- (b) Epsilon prepares financial statements to 31 March each year. The following events have occurred which are relevant to the year ended 31 March 2017:

- (i) On 1 April 2016, Epsilon purchased a new head office property for \$60 million. On 1 April 2016, Epsilon leased out the top three floors of the property to a third party on a long-term operating lease. The annual rental receivable by Epsilon was \$2 million, starting on 31 March 2017. The top three floors of the property were capable of being sold in a separate transaction. On 1 April 2016, the directors of Epsilon estimated that the initial cost of the property should be allocated as follows for accounting purposes:

	\$ million
Top three floors of building	15
Remainder – buildings component	20
Remainder – land component	25
Total initial cost	60

On 31 March 2017, the property had an estimated total fair value of \$64 million. The directors consider that 25% of this fair value was attributable to the top three floors of the property. The directors of Epsilon wish to use the cost model for measuring property, plant and equipment and the fair value model for measuring investment property. Epsilon depreciates the buildings component of properties over an estimated useful life of 50 years, with no estimated residual value. The rental payable to Epsilon on 31 March 2017 was paid in accordance with the terms of the lease. (8 marks)

- (ii) On 1 April 2016, Epsilon purchased a brand from a competitor for an agreed price of \$80 million. The directors of Epsilon believe that the useful life of the brand is indefinite. On 31 March 2017, no reliable estimate of its selling price was available but the directors of Epsilon estimated that the value in use of the brand was \$85 million. The directors of Epsilon wish to use the fair value model for measuring intangible assets whenever permitted by International Financial Reporting Standards. (5 marks)

Required:

Explain and state how the two events should be reported in the financial statements of Epsilon for the year ended 31 March 2017.

Note: The mark allocation is shown against each of the two events above.

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). One of your assistants, a trainee accountant, is involved in the preparation of the consolidated financial statements for the year ended 31 March 2017. She is also involved in the preparation of the individual financial statements for the entities in the group. She has sent you an email with the following queries:

Query One

On 1 April 2016 we acquired a new subsidiary. This subsidiary has always prepared its financial statements in \$ but has used IFRS for the first time this year. Previously, they have used local standards. This means that the comparative figures (they present comparatives for one year only), taken from last year's financial statements, will be based on local standards not IFRS. How do I make sure we are comparing like with like in the current year individual financial statements of the subsidiary? Please just give me the general procedure, rather than dealing with any specialised exemptions. (7 marks)

Query Two

I notice that on 1 April 2016 we lent \$50 million to a key supplier. The loan has an annual rate of interest of 5%, with interest of \$2.5 million payable on 31 March each year in arrears. The loan is repayable on 31 March 2026 but I believe that if interest rates change, we might consider assigning the loan to a third party. As it turns out, interest rates have fallen since 1 April 2016 and the fair value of the loan asset at 31 March 2017 was \$52 million. I have been told that this loan asset should be measured at 'fair value through other comprehensive income'. Why is this? I thought loan assets were measured at amortised cost. If the loan asset is measured at fair value through other comprehensive income, does the interest income get recorded in other comprehensive income rather than profit or loss? (6 marks)

Query Three

I'm not sure whether we need to make any entries in respect of the equity settled share-based payment scheme we started on 1 April 2016. I believe we granted options to 1,000 employees to purchase 100 shares in Omega for a fixed price. The options vest on 31 March 2021 subject to two conditions. The first vesting condition is that the employees remain employed by Omega throughout the five-year period up to the date of vesting. Best estimates are that 900 of the 1,000 will stay for that period – only 25 left in the year ended 31 March 2017. The other condition is that the Omega share price on 31 March 2021 should be at least \$10. The share price on 31 March 2017 was only \$8.50 so it doesn't look like this condition is satisfied yet. I've also noticed that the fair value of one share option was \$1 on 1 April 2016, rising to \$1.05 on 31 March 2017. Do we need any accounting entries and, if so, what should they be? (7 marks)

Required:

Provide answers to the three queries raised by the trainee accountant. Your answers should refer to relevant provisions of International Financial Reporting Standards.

Note: The split of the mark allocation is shown against each of the items above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Computation of goodwill on acquisition of Beta and Gamma

	\$'000	\$'000	Explanations (where needed)	
Beta				
Cost of investment:				
Cash paid		150,000		1/2
Non-controlling interest at the date of acquisition		30,000	20,000 x \$1.50	1/2
Net assets at the date of acquisition		(147,000)		1/2
Goodwill on acquisition of Beta		<u>33,000</u>		
Gamma				
Cost of investment:				
Share exchange	180,000		60 million x 2/3 x \$4.50	1
Deferred cash consideration	15,000		\$16.2 million/1.08 – the present value of the cash payable	1
Contingent consideration	<u>26,000</u>		Measured at fair value at the date of acquisition	1/2
		221,000		
Non-controlling interest at the date of acquisition		55,500	20/80 x \$222 million (net assets of Gamma at date of acquisition – see below)	1
		<u>276,500</u>		
Net assets at the date of acquisition				
At 1 April 2016	166,500		As per Gamma's financial statements	1/2
Profits to 31 July 2016	13,500		4/12 x \$40.5 million (the profit for the year to 31 March 2017)	1
Fair value uplifts	<u>42,000</u>		\$30 million + \$12 million as per note 2	1/2
		(222,000)		
Goodwill on acquisition of Gamma		<u>54,500</u>		<u>7</u>

(b) Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 2017

	\$'000	
Revenue (W1)	858,000	1 (W1)
Cost of sales (W2)	(503,110)	9½ (W2)
Gross profit	354,890	
Distribution costs (26,000 + 20,000 + 18,000 x 8/12)	(58,000)	½
Administrative expenses (W5)	(82,000)	1½
Investment income (W6)	8,100	2½ (W6)
Other income (W7)	800	1 (W7)
Finance costs (W8)	(56,992)	3 (W8)
Profit before tax	166,798	
Income tax expense (24,000 + 14,000 + 8/12 x 13,500)	(47,000)	½
Profit for the year	119,798	
Other comprehensive income:		
Items that will be reclassified to profit and loss		
Effective portion of gains on derivatives classified as cash flow hedges	4,200	1
Total comprehensive income for the year	123,998	
Profit attributable to:		
Owners of Alpha (balancing figure)	105,848	½
Non-controlling interest (W9)	13,950	3½ (W9)
	119,798	
Total comprehensive income attributable to:		
Owners of Alpha (balancing figure)	110,048	½
Non-controlling interest (as above)	13,950	1
	123,998	
		26

(c) Consolidated statement of changes in equity of Alpha for the year ended 31 March 2017

	Alpha group	Non-controlling interest	Total	
	\$'000	\$'000	\$'000	
At 1 April 2016 (W10/11)	286,000 (W10)	39,200 (W11)	325,200	2 (W10) + 1 (W11)
Increase due to acquisition (W12)	206,000	55,500	261,500	1½ (W12)
Comprehensive income for the year	110,048	13,950	123,998	½ + ½
Dividends paid (W13)	(40,000)	(7,600) (W13)	(47,600)	½ + 1 (W13)
At 31 March 2017	<u>562,048</u>	<u>101,050</u>	<u>663,098</u>	
				7
				40

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Revenue

	\$'000	
Alpha + Beta + $\frac{8}{12}$ x Gamma	888,000	$\frac{1}{2}$
Intra-group revenue (20,000 + 10,000)	(30,000)	$\frac{1}{2}$
	<u>858,000</u>	<u>1</u>

Working 2 – Cost of sales

	\$'000	
Alpha + Beta + $\frac{8}{12}$ x Gamma	527,000	$\frac{1}{2}$
Intra-group purchases (as W1)	(30,000)	$\frac{1}{2}$
Unrealised profit:		
Closing inventory ($20\% \times (6,000 + 4,800)$)	2,160	$\frac{1}{2} + \frac{1}{2}$
Opening inventory ($20\% \times 4,000$)	(800)	$\frac{1}{2} + \frac{1}{2}$
Impairment of Beta goodwill (W3)	3,000	$3\frac{1}{2}$ (W3)
Extra depreciation on fair value adjustments:		
Plant and equipment ($12,000 \times \frac{1}{5} \times \frac{8}{12}$)	1,600	1
Extra depreciation of capitalised provision (W4)	150	2 (W4)
	<u>503,110</u>	<u>$9\frac{1}{2}$</u>

Working 3 – Impairment of Beta goodwill

	Unit 1 \$'000	Unit 2 \$'000	Unit 3 \$'000	Total \$'000	
Net assets at 31 March 2017 (as per SOCIE)	72,000	72,000	72,000	216,000	$\frac{1}{2}$
Allocated goodwill	<u>11,000</u>	<u>11,000</u>	<u>11,000</u>	<u>33,000</u>	$\frac{1}{2}$
	83,000	83,000	83,000	249,000	$\frac{1}{2}$
Recoverable amount	<u>87,000</u>	<u>84,000</u>	<u>80,000</u>		$\frac{1}{2}$
So impairment equals	<u>Nil</u>	<u>Nil</u>	<u>3,000</u>	<u>3,000</u>	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
					<u>$3\frac{1}{2} \Rightarrow W2$</u>

Working 4 – Provision

	\$'000	
Provision required at 1 April 2016 ($8,000 \times 0.30$)	<u>2,400</u>	1
So extra depreciation ($\frac{1}{16}$) equals	<u>150</u>	1
		<u>2 $\Rightarrow W2$</u>

Working 5 – Administrative expenses

	\$'000	
Alpha + Beta + $\frac{8}{12}$ x Gamma	90,000	$\frac{1}{2}$
Reversal of incorrectly charged provision	(8,000)	1
	<u>82,000</u>	<u>$1\frac{1}{2}$</u>

Working 6 – Investment income

	\$'000	
Alpha	28,000	$\frac{1}{2}$
Intra-group dividends eliminated:		$\frac{1}{2}$
– Beta ($80\% \times 18,000$)	(14,400)	$\frac{1}{2}$
– Gamma (paid post-acquisition – $75\% \times 16,000$)	(12,000)	$\frac{1}{2}$
Gain on remeasurement of FVTPL investments	<u>6,500</u>	$\frac{1}{2}$
	<u>8,100</u>	<u>$2\frac{1}{2}$</u>

Working 7 – Other income

	\$'000	
Ineffective portion of cash flow hedge ($5,000 - 4,200$)	<u>800</u>	1

Working 8 – Finance cost

	\$'000	
Alpha + Beta + $\frac{8}{12} \times \text{Gamma}$	56,000	$\frac{1}{2}$
Finance cost on deferred consideration ($15,000 \text{ (part(a))} \times 8\% \times \frac{8}{12}$)	800	$1\frac{1}{2}$
Finance cost on decommissioning provision ($2,400 \text{ (W4)} \times 8\%$)	192	1
	<u>56,992</u>	<u>3</u>

Working 9 – Non-controlling interest in profit

	Beta \$'000	Gamma (8/12) \$'000	Total \$'000	
Profit after tax	41,000	27,000		$\frac{1}{2} + \frac{1}{2}$
Impairment of Beta goodwill (W3)	(3,000)			$\frac{1}{2}$
Extra depreciation – Gamma (W2)		(1,600)		$\frac{1}{2}$
Relevant profit	<u>38,000</u>	<u>25,400</u>		$\frac{1}{2}$
Non-controlling interest (20%/25%)	<u>7,600</u>	<u>6,350</u>	<u>13,950</u>	$\frac{1}{2} + \frac{1}{2}$
				<u>$3\frac{1}{2}$</u>

Working 10 – Opening equity – Alpha group

	\$'000	
Alpha	250,000	$\frac{1}{2}$
Beta: $80\% \times (193,000 - 147,000)$	36,800	$\frac{1}{2} + \frac{1}{2}$
Unrealised profit on opening inventory (W2)	(800)	$\frac{1}{2}$
	<u>286,000</u>	<u>2</u>

Working 11 – Opening non-controlling interest (in Beta)

	\$'000	
At date of acquisition (part (a))	30,000	$\frac{1}{2}$
Increase since acquisition: $20\% (193,000 - 147,000)$	9,200	$\frac{1}{2}$
At start of the year	<u>39,200</u>	<u>1</u>

Working 12 – Increase to equity as a result of the acquisition of Gamma

	\$'000	
Equity shares issued (part (a))	180,000	$\frac{1}{2}$
Contingent equity consideration (part (a))	26,000	$\frac{1}{2}$
So group element equals	206,000	1
Non-controlling interest in Gamma at the date of acquisition (part (a))	55,500	$\frac{1}{2}$
So total increase equals	<u>261,500</u>	<u>$1\frac{1}{2}$</u>

Working 13 – Dividends paid to non-controlling interest

	\$'000	
Beta ($18,000 \times 20\%$)	3,600	$\frac{1}{2}$
Gamma ($16,000 \times 25\%$)	4,000	$\frac{1}{2}$
Total	<u>7,600</u>	<u>1</u>

- 2 (a)** It would appear that the lease of the asset to entity X is a finance lease. This is because entity X is responsible for repairs, maintenance and insurance of the asset and because the present value of the minimum lease payments by entity X is \$760,000 ($200,000 \times \3.80). This is 98.6% of the fair value of the asset at the inception of the lease (\$771,000).

1 (for decision)
+ 2 (for reasons)

Because the lease is a finance lease, Delta will show a lease receivable – net investment in finance leases under non-current assets.

1 (principle of this)

The carrying amount of the lease receivable on 1 April 2016 will be \$791,000 ($\$771,000 + \$20,000$).

1

During the year ended 31 March 2017, Delta will recognise income from finance leases in the statement of profit or loss. The amount recognised will be \$79,100 ($\$791,000 \times 10\%$).

1 (principle)
+ 1 (calculation)

Marks

Following recognition of the lease income and the rental payment from Delta on 31 March 2017, the net investment in finance leases in the statement of financial position of Delta at 31 March 2017 will be \$670,100 (\$791,000 + \$79,100 – \$200,000).

1

8

- (b) The joint arrangement with entity Y is a joint operation because Delta and entity Y have equal rights to the assets and joint obligations for the liabilities relating to the arrangement.

1 (principle)
+ 1 (reason)

In a joint operation, the operators include their share of any jointly held assets. Therefore the property, plant and equipment of Delta at 31 March 2017 will include:

- Leasehold property of \$25m x 24/25 = \$24m
- Plant and equipment of \$7.5m x 4/5 = \$6m

1 (principle)
+ 1 (computation)

In a joint operation, the operators include their share of jointly incurred costs. Therefore the statement of profit or loss of Delta for the year ended 31 March 2017 will include the following costs:

- Amortisation of lease premium \$1m.
- Depreciation of plant and equipment \$1.5m.
- Cash cost of operating the depot \$4m.

½ (principle)
+ 1½ (computation)

Delta will also include its own discretionary delivery charges of \$2m as a reduction in its operating costs.

1

7

- (c) Doubts regarding the going concern status of a customer would normally be regarded as *prima facie* evidence that any trade receivable had suffered impairment. In such circumstances an impairment allowance equal to the expected losses would normally be appropriate.

1

However, IFRS 9 *Financial Instruments* requires the impairment assessment to be made **at the reporting date**.

1

At the reporting date, the going concern status of Z was not in doubt, so in this case no allowance is necessary.

1

However, the information about the decline in the going concern status of Z after the reporting date is a non-adjusting event after the reporting date.

1

Therefore whilst no impairment allowance is necessary, it will be necessary to disclose details of the 20 April event at Z's business premises and its impact on the collectability of Delta's trade receivable.

1

5

20

- 3 (a) (i) IAS 1 distinguishes between current and non-current assets by identifying the meaning of the term 'current asset'.

½

An asset is classified as current when the entity:

- Expects to realise the asset, or intends to sell or consume it, in its normal operating cycle.
- Holds the asset primarily for the purpose of trading.
- Expects to realise the asset within 12 months after the reporting period.
- Has cash or a cash equivalent which is not subject to an exchange restriction.

½

½

½

½

An entity classifies all other assets as non-current.

½

3

NB: Exact wordings NOT required for marks.

- (ii) IAS 16 defines property, plant and equipment as **tangible** items which are held for **use** in the production or supply of goods and services, for **rental** to others, or for **administrative** purposes and are expected to be used for **more than one period**.

½ + ½

½

½ + ½

IAS 38 defines intangible assets as **identifiable**, **non-monetary** assets without **physical substance**.

½ + ½

½

4

NB: Exact wordings NOT required for marks.

	Marks
(b) (i) The property purchased for \$60 million is a mixed-use property. The property is being partly owner occupied and partly used for investment purposes. IAS 40 <i>Investment Property</i> states that where a property is held for mixed-use in this way, then the portions should be accounted for separately if they could be sold separately. This applies here. The investment property has an 'effective original cost' of \$15 million. Since the fair value model is being used to measure investment property, the investment property will not be depreciated but remeasured to fair value at 31 March 2017, with gains or losses on remeasurement being recognised in profit or loss. Therefore the year-end carrying amount of the investment property will be \$16 million (\$64 million x 25%) and a remeasurement gain of \$1 million (\$16 million – \$15 million) will be recognised in profit or loss. The investment property will be shown as a non-current asset in the statement of financial position. Since the lease is an operating lease, Epsilon (as lessor) will recognise rental income of \$2 million in profit or loss for the year ended 31 March 2017. The remainder of the property, having an original cost of \$45 million (\$60 million – \$15 million), will be accounted for as property, plant and equipment and measured under the cost model. The buildings component will be depreciated and the charge for the year ended 31 March 2017 will be \$400,000 (\$20 million x 1/50). This charge will be recognised in profit or loss. The carrying amount of the property, plant and equipment at 31 March 2015 will be \$44.6 million (\$45 million – \$400,000). This will be shown as a non-current asset in the statement of financial position	1 (explanation) 1/2 1 (explanation) + 1 (computation) 1/2 1 1 1 1 1 8
(ii) Since the brand has been separately purchased, IAS 38 <i>Intangible Assets</i> requires that it is initially recognised at its cost of \$80 million. Epsilon is unable to use the revaluation model to measure the brand because IAS 38 requires the existence of an active market in the asset before this can occur – this is clearly not present in this situation as the brand name is unique. Under the cost model, intangible assets are amortised over their useful lives. If the useful life is assessed as indefinite, then no amortisation is charged but the asset must be reviewed annually for impairment. In this case no impairment is evident as the value in use is \$85 million, so the brand will be shown as a non-current intangible asset at its original cost of \$80 million.	1 1 2 1 5 20

4 Query One

When an entity adopts International Financial Reporting Standards (IFRSs) for the first time, the entity needs to prepare an opening IFRS statement of financial position at the date of transition to IFRS. This is a requirement of IFRS 1 <i>First Time Adoption of International Financial Reporting Standards</i> .	1
The date of transition to IFRS is the beginning of the earliest period for which the entity provides comparative information. In our case, this date is 1 April 2015.	1
The opening IFRS statement of financial position should be prepared in accordance with IFRSs which are in force for the current reporting period – in this case, the year ended 31 March 2017.	1
The statement of profit or loss and other comprehensive income, and the statement of changes in equity, which are presented as comparative figures in the financial statements for the year ended 31 March 2017, shall also be prepared in accordance with IFRSs which are in force for the year ended 31 March 2017.	1
In the first set of financial statements we will need a reconciliation of those amounts which were previously reported under local standards in the previous year's financial statements.	1
The reconciliation will be between the amounts reported in previous periods under local standards and the equivalent amounts reported as comparatives in the current period under IFRSs.	1

	Marks
For us, this will mean reconciling equity at 1 April 2015 and 31 March 2016, plus total comprehensive income for the year ended 31 March 2016.	1
	<u>7</u>
Query Two	
The measurement basis for financial assets is set out in IFRS 9 <i>Financial Instruments</i> . The measurement basis depends on the business model for managing the financial asset and the contractual cash flow characteristics of the financial asset.	1
In order for the financial asset to be measured at amortised cost, the contractual terms should give rise to cash flows on specified dates which are solely payments of principal and interest on the amounts outstanding. This condition is satisfied in the case of the loan you are querying.	1
There is, however, another condition to be satisfied. The asset should be held under a business model whose objective is to hold the financial asset in order to collect the contractual cash flows. This condition is not satisfied, given the possibility of assigning the loan should interest rates rise.	1
A financial asset is measured at fair value through other comprehensive income where the 'contractual cash flow test' is passed and the asset is held under a business model whose objective is achieved both by collecting the contractual cash flows and by selling the financial asset. This appears to be the case here, so classification as fair value through other comprehensive income seems appropriate.	1
Where a financial asset is measured at fair value through other comprehensive income, the interest income which is included in profit or loss is the same amount as would be recorded were the asset to be measured at amortised cost. Therefore interest income of \$2.5 million will be recorded in profit or loss.	1
The increase in fair value of \$2 million (\$52 million – \$50 million) will be recorded in other comprehensive income.	1
	<u>6</u>
Query Three	
Under the provisions of IFRS 2 <i>Share-based Payment</i> , this arrangement is an equity settled share-based payment.	1
IFRS 2 regulates the treatment of vesting conditions based on whether they are market based or non-market based.	1
A market based vesting condition is taken into account by reflecting it in the measurement of the fair value of the option. It does not need to be considered subsequently as to do so would result in double-counting. Therefore the condition relating to the share price can be ignored after the fair value of \$1 is determined.	1
A non-market condition is taken into account by reflecting it in the calculation of the number of options ultimately expected to vest. In this case, that number would be 90,000 (900 x 100).	1
The cost of the arrangement is recognised over the vesting period, based on the fair value of the option at the grant date.	1
The amount recognised for the year ended 31 March 2017 would be \$18,000 (90,000 x \$1 x 1/5).	1
This amount is recognised as an employment cost (probably in profit or loss) and a corresponding credit to equity.	1
	<u>7</u>
	<u>20</u>